Mom-and-Pop Expense Normalizer

Property: _____ **Date:** _____

Part D: Prove the numbers.

Takes in: verified revenue, 12 months of bills.

Hands to: AS-09, AS-07, AS-16.

Mom-and-pop books were built for a family, not a buyer. Your job is to rebuild them the way the park will actually run under you, then underwrite that number.

Built for MHC books. For RV parks, use its sibling: RV Expense Normalizer (AS-08R).

1. The worksheet

For each line: the seller's claim, your adjustment, the normalized number you will live with, and the status letter. V = verified (you hold the document), B = broker/seller-reported, C = calculated by you.

Expense line	St	Seller claims	Adjust	Normalized
Manager and family labor (market rate, not family rate)				
Owner labor (unpaid: price it, see the test below)				
Payroll taxes and workers comp on labor (10% burden, rule of thumb, verify locally)				
Personal items in the books: vehicle, phone, insurance (add back)				
Property tax (reassess at purchase price; confirm with the assessor)				
Insurance (re-quote in your name, on this park)				
Repairs (3-year average, not the seller's best year)				
Utilities the owner pays (12 months of bills)				
Management (price it even if self-managing; 5-10% is an honest placeholder, rule of thumb, verify locally)				
Bad debt, evictions, legal				
Capital reserve: replacement cost / years of life left				
Office, software, bookkeeping				
Other verified operating costs				
TOTAL				

Reserve math: roads, water lines, pedestals, lift stations, park buildings. Replacement cost divided by years remaining = the annual reserve line. A park is an infrastructure business; the reserve is not optional.

Two-page tool. Page 1: the worksheet. Page 2: the owner-labor test, the Bridge, and lender view vs. operator view.

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2. The owner-labor test

Hours per week the owner works: _____ **What that labor costs at market ($/yr):** _____

What you will do yourself for free ($/yr): _____

The free part is your equity, not the deal's. Price it anyway: the next buyer will.

3. The Bridge: deposit-basis NOI to normalized NOI

Walk the number across, one adjustment at a time. Print the price effect on the same page.

Step	Amount ($)
Deposit-basis NOI (verified revenue minus seller expenses)	
Plus: labor, management, and payroll adds	
Plus: reserve, insurance, tax, and repair adds	
Minus: personal-item add-backs	
NORMALIZED NOI	

Price effect = (normalized NOI - deposit-basis NOI) / cap rate. Every dollar of expense found moves the price by 1 / cap rate dollars. At 8%, $10,000 of missed expense is $125,000 of price.

4. Lender view vs. operator view

	Lender view	Operator view
Vacancy and management	Lender minimums apply	What will actually happen
Reserves	Lender minimums apply	Your reserve math from the worksheet
NOI used	Lender NOI: the DSCR number	Operator NOI: your underwriting number

The lender underwrites the downside case. You underwrite the real case. Know both numbers before you talk to either.

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Worked example: Maple Bend Estates (fictional)

Fictional normalization of the $71,000 seller expenses against $189,000 of verified deposits (deposit-basis NOI $118,000).

Expense line	St	Seller	Adjust	Normalized
Manager and family labor	B	18,000	+8,000	26,000
Owner labor (unpaid)	C	0	+6,000	6,000
Payroll burden, 10% of labor	C	1,800	+1,400	3,200
Personal vehicle, phone, insurance	B	5,000	-5,000	0
Property tax, reassessed	C	4,800	+3,700	8,500
Insurance, re-quote	V	5,500	+2,900	8,400
Repairs, 3-year average	B	9,000	+3,000	12,000
Water/sewer, 12-mo bills	V	14,000	0	14,000
Management, 7% of revenue	C	0	+13,230	13,230
Bad debt, evictions, legal	B	1,200	+2,600	3,800
Capital reserve: 150,000 / 30 yr	C	0	+5,000	5,000
Office, software, bookkeeping	B	3,700	+700	4,400
Common-area electric	V	8,000	0	8,000
TOTAL		71,000	+41,530	112,530

Line checks: payroll = (26,000 + 6,000) x 10% = 3,200. Management = 189,000 x 7% = 13,230. Reserve = 150,000 / 30 = 5,000. Seller column sums to 71,000; adjustments net +41,530.

The $26,000 is on-site labor (maintenance and office hands), priced at market. The 7% management fee ($13,230) prices the management function separately, even if you self-manage. The two lines do not double count.

The Bridge

- Seller's stated NOI: $145,480 (claimed rent $216,480 minus seller expenses $71,000), shown for contrast only. The Bridge starts from deposits, not claims.
- Deposit-basis NOI: $118,000 (verified deposits $189,000 minus seller expenses $71,000).
- Labor and management adds: $28,630 (8,000 + 6,000 + 1,400 + 13,230).
- Reserve, insurance, tax, repair, and bad-debt adds: $17,900 (3,700 + 2,900 + 3,000 + 2,600 + 5,000 + 700).
- Personal-item add-backs: -$5,000.

Normalized NOI = 118,000 - 41,530 = $76,470. Price effect at 8%: 41,530 / 0.08 = $519,125.

Normalized expense ratio: 112,530 / 189,000 = 59.5%. It runs hot because the owner pays water and sewer and the park carries 9 park-owned homes. The benchmark is a smell test, not a verdict.

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The Doctrine

The seller's NOI is not a fact you adjust. It is the NOI of the seller's life: unpaid labor, a spouse on payroll, a truck in the books, insurance priced for someone the carrier knew for twenty years. Your NOI is a model of a business that does not exist yet: the one you will run. Normalizing is not accusing anyone of lying. It is translating a family's books into an operator's books. The belief this shatters: that the books describe the park. They describe the seller. The rule: price your own free labor honestly, because the first time you do, a self-employed laborer becomes an owner, and the deal gets priced like one.

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